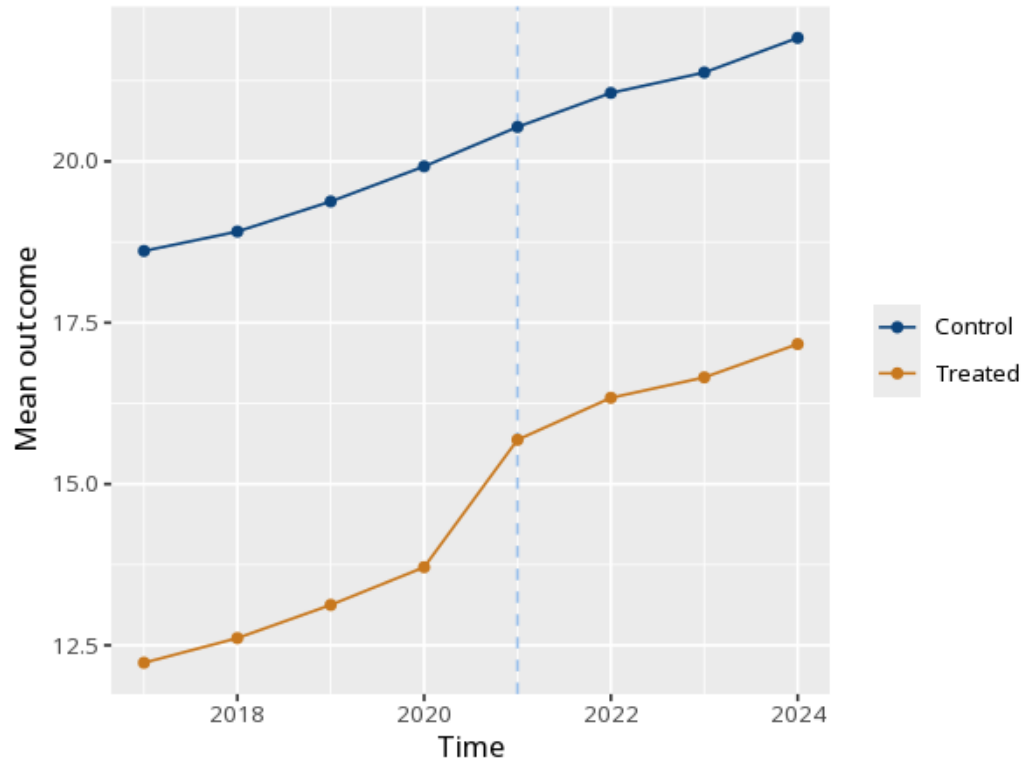


# 1 Difference-in-differences (DiD)

|                       | (1)                            |
|-----------------------|--------------------------------|
| Post                  | 2.02<br>(0.09)<br>[1.84, 2.19] |
| Treated $\times$ Post | 1.53<br>(0.12)<br>[1.29, 1.76] |
| Num.Obs.              | 96                             |
| N entities            | 12                             |
| Within $R^2$          | .84                            |
| F                     | $F(2, 82) = 216.31, p < .001$  |



The Treated $\times$ Post coefficient is the estimated treatment effect. It rests on the parallel-trends assumption: that the groups would have moved together absent treatment. Similar pre-treatment trends (inspect the pre-period of the plot) make this more plausible but do not prove it — a visual check is supportive, not confirmatory, since the assumption is about the unobservable post-period counterfactual. The note adds a formal pre-trends test (a pre-period leads-

and-lags joint F of the treated $\times$ time interactions): a small p flags diverging pre-trends, while a large p is consistent with parallel trends. Method: R plm package with clustered standard errors (Croissant & Millo, 2008; Bertrand, Duflo & Mullainathan, 2004). Your significance threshold ( $\alpha$ ) is 0.05.

The DiD estimate was B=1.53, 95% CI [1.29, 1.76],  $p < .001$  (clustered SE).